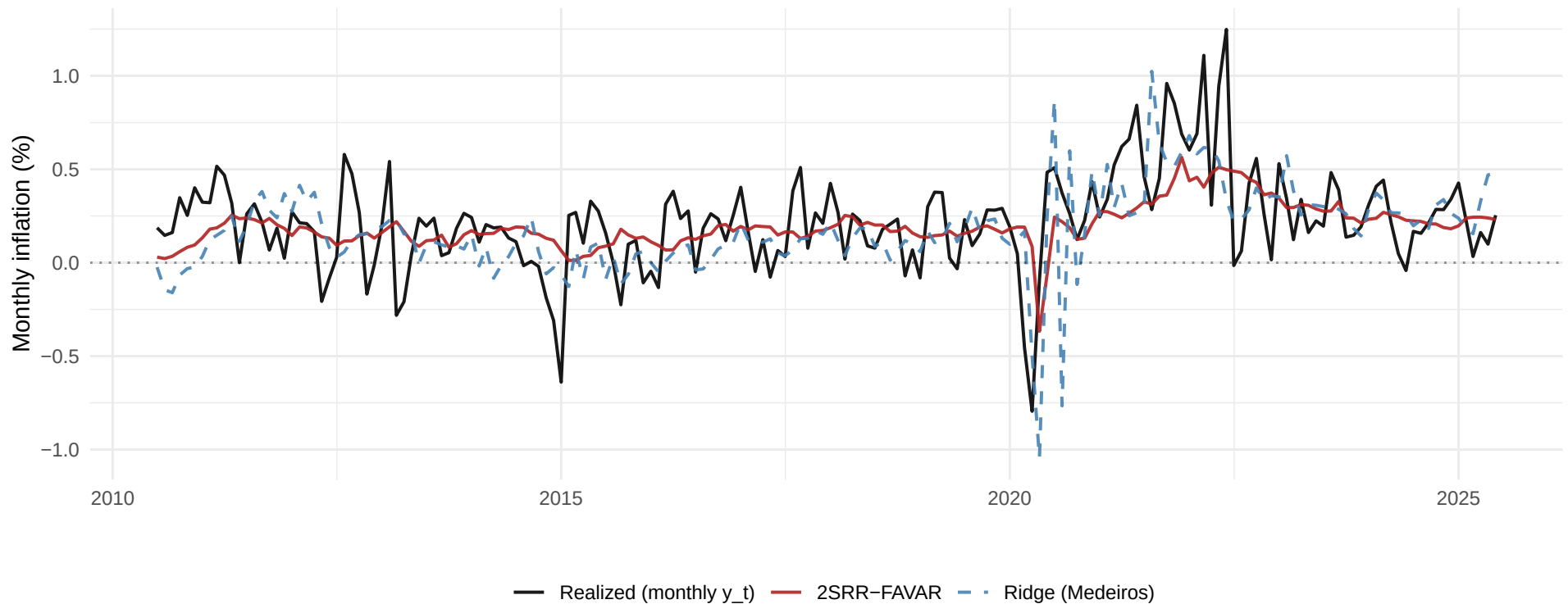


2SRR-FAVAR vs classical Ridge (Medeiros),  $h=6$



Realized =  $y_t$  (monthly);  $h$ -step forecasts /  $h$  = mean monthly prediction